

The J.P. Morgan View

Brent Softens, Jobs Bend: Fed Pressure Eases, Yen Gets a Shield

- Geopolitics turned incrementally more constructive over the past two weeks. Headlines pointing toward a deal to restore full transit in the Strait of Hormuz compressed the oil risk premium, with Brent retracing toward ~\$80-85/bbl from ~\$100/bbl. Lower oil prices accelerated the repricing of DM hiking expectations, with money markets validating a patient, gradual normalization path. We now expect just one additional hike across the G4 by year-end, and we see the BoJ delivering three more hikes in 2027.
- The [Fed stayed on hold at the July meeting](#) with three hawkish dissents, but the dominant signal came from Chair Warsh's communication, which weakened the Fed's inflation anchoring credibility, initially triggering a twist steepening of the UST yield curve and higher inflation breakevens.
- Casting doubt on PCE as the anchor reads like "moving the goalposts" of inflation targeting. The risk is that Warsh's task forces may endorse an alternative inflation measure, further blurring the reaction function. Our baseline is that the FOMC will ultimately assert its inflation mandate with [a hike in December 2026](#) (pulled forward from 2H27). The [July employment](#) survey in US delivered a soft reading with the notable exception of the unemployment rate moving to 4.1% from 4.2%. The 3M moving average of private payrolls at 40k is consistent with a low demand/low supply labour market. The decline in the participation rate partly contributed to the drop in UR; we believe the report takes hiking pressure away from the Fed, reducing the chances of a September move, with the focus on the forthcoming CPI prints.
- On August 3rd, the Japanese and US governments confirmed [coordinated FX intervention](#) to strengthen JPY. Authorities are drawing a line against "excessive yen depreciation" around USD/JPY ~160, with added concerns that JGB volatility could spill into the Treasury market.
- US/Japan coordination should cap the risk of USD/JPY pushing materially beyond ~164, even with the risk of Fed hikes, but flow capacity is limited. Japan's cumulative yen-buying intervention this year appears to have reached roughly ¥23-29tn (~\$146-184bn). MOF intervention is running into capacity constraints: the [FIMA Repo Facility](#) is a USD-liquidity backstop, not an FX tool.
- Cross Asset Views – A Fed on hold until December broadly supports a risk-on strategic outlook with an emphasis on carry trading in rates and FX. Concerns surrounding the Fed's credibility and inflation/term premia are pivotal for global rates, the USD and gold, while the impact on risk assets is generally second-order, typically becoming material in a severe, disorderly credibility shock.
- In equities, the intense period of de-leveraging in the Semis-led rally in Korea continued last week with the KOSPI index down almost 40% from the peak on the 22nd of June, with repercussions across the Semis complex (SOX down 29% from peak) consistent with unwinds. We still see the move as mostly positioning-driven amid supportive fundamentals and valuations.

Cross Asset Strategy

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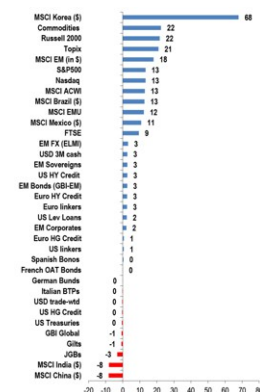
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Korea Still Leads YTD Returns Despite Losing Altitude, with Cyclical Leadership Holding as Dispersion Persists



Source: Bloomberg Finance L.P.

- The strong earnings momentum alongside increasing signs of AI monetization from hyperscalers reinforces our positive outlook on US equities and on the global AI cycle. Medium-term, we continue to see best risk-reward in Quality Growth and Hyperscalers, but, tactically, we believe the cheapening in Semis has delivered attractive entry opportunities.
- In US rates we keep the [2s/10s UST curve steepeners](#) given lower Fed pressure to hike in September and 5Yx5Y inflation breakeven widenens on higher inflation premium given concerns around moving the Fed's goalpost. We stay long 10Y duration on Bund (outright and vs. UST) but [close long in gilt](#), with DM markets reducing expectations for hikes into year-end.
- In FX, the long-USD narrative has been challenged by softer data of late including the NFP and amplified by joint FX intervention last week. The “muddling through” of the Fed with data warranting a hold stance becomes USD-negative. We [close our USD long trade vs. low yielding G10 FX](#) while keeping a moderate medium-term bullish bias. Short term range trading warrants a neutral outlook on USD. We remain bullish beta FX, with carry expected to deliver positive returns via longs in EM high-yielders funded by DM low-yielder.
- In commodities, gold has re-coupled to real yields as the Fed turns more patient, supporting the rebound. We stay modestly bullish on gold with an average forecast for 3Q26 at ~\$4,300/oz and for 4Q26 at ~\$4,500/oz. The longer-term bull case remains intact into 2027 as structural central bank/physical buying re-accelerates.

Table 1: Core recommendations by asset class

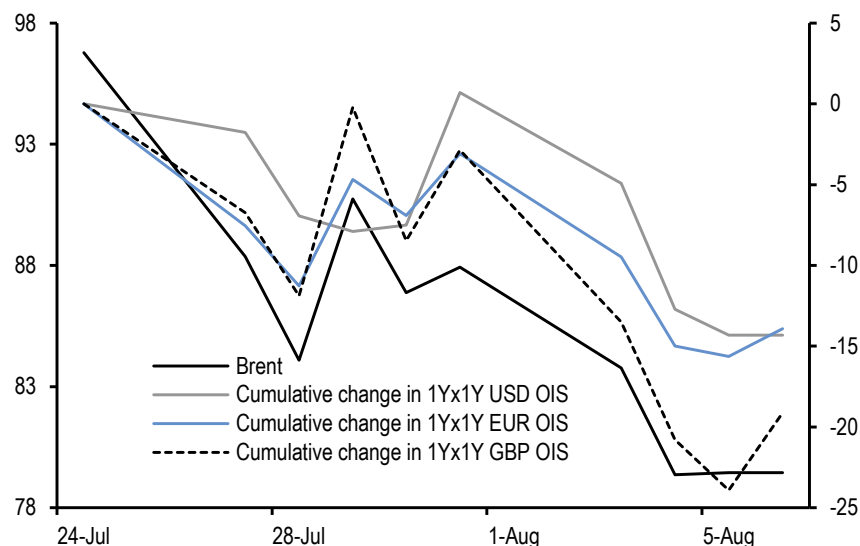
Equities	Country: OW Eurozone, N Japan, UK. OW EM vs DM ex US. Sector: OW Technology, Comm Services, Utilities; Neutral Industrials, Cons. Staples, Cons. Discretionary, Financials, Health Care; UW Energy, Materials, Real Estate.
Bonds	DM Duration: In the US, initiate 2s/10s UST steepeners, 5Yx5Y inflation swap wideners . In Euro rates, keep long 10Y Germany and 10Y Italy vs. US, stay short 10Y France, hold 2Yx2Y/10Yx10Y swap curve steepeners, stay long Mar27 Euribor calls vs. SOFR, keep Sep26 Euribor put 1x2 spread, and stay short 3Mx5Y gamma. In the UK, receive Sep26 MPC OIS, close long 10Y gilt . In Scandinavia, receive 1Yx1Y Stibor . In Japan, hold tactical 5s/20s JGB curve steepeners. In AUS/NZ, pay the NZD-AUD 2Y2Y spread, close the NZD-AUD 5Yx5Y IRS spread and the AUD 2Yx1Y IRS vs. US spread , and hold Nov26/Aug27 RBA OIS flattener. EM Duration: MW; OW Hungary, Colombia, Mexico, Paraguay while UW Thailand, Peru and Chile.
Credit	US HG: OW: Banks (US & Yankee), Finance Cos, Healthcare, UW: Autos, Consumer, Media, Retail Euro HG: OW EUR IG vs. GBP IG, OW Industrials vs UW Consumer, OW Corporate Hybrids vs Bank T2, iTraxx Main 75bp August payer option Euro HY: OW Bs vs BBs EM: MW sovereigns and corporates
Currencies	DM: Close long USD vs. basket of DM low yielders (NZD, CAD, SEK, CHF, EUR), long EUR/SEK, and long AUD/SEK . Stay short CHF vs. AUD, USD, HUF basket; short CAD/MXN; hold legacy long NOK/SEK call spread. EM: OW; OW COP, CZK, HUF, MXN, and PYG while UW RSD and THB.
Commodities	Long: Gold, Copper, Aluminum, Silver, and Platinum Short: Zinc

Source: J.P. Morgan. New recommendations in bold.

The Middle East risk premium is easing once again as markets pivot from pricing prolonged disruption in the Strait towards a managed reopening framework, with the news flow increasingly centered on a potential US-Iran de-escalation arrangement and a deal for full re-opening. Details remain scarce, but the price action has been direct, with Brent receding back toward ~\$80-85/bbl from ~\$100/bbl. The market is pricing the announcement, not the implementation. The next swing factor is execution, not messaging. If transit normalizes cleanly day after day, the premium stays compressed. If control and enforcement mechanics reintroduce friction, we see the premium rebuilding quickly. Over the past couple of weeks, money markets have reduced hiking expectations across major markets, with 1Yx1Y OIS rates declining between 15bp and 25bp, broadly mirroring the lower move in oil prices (Figure 1).

Figure 1: 1Yx1Y OIS rates have declined about 15-25bp across USD, EUR and GBP in a move mirroring the dynamic in oil prices

Brent price (\$/bbl) and cumulative change (bp) in 1Yx1Y OIS rate in USD, EUR and GBP



Source: J.P. Morgan

On the macro side, the cyclical lift is back in focus as per the July business surveys. Although it remains below its pre-conflict high, [the J.P. Morgan Global Composite PMI came to 52.6](#), marking its fourth consecutive monthly increase. This level is consistent with an above-potential global GDP growth of 2.9%, above our forecast of 2.3% for the current and last quarter. The gains were driven by services, while manufacturing cooled modestly but stayed at solid levels. Additionally, the improvement was broad-based, with large gains seen in the US and the Euro area, while China saw a drop.

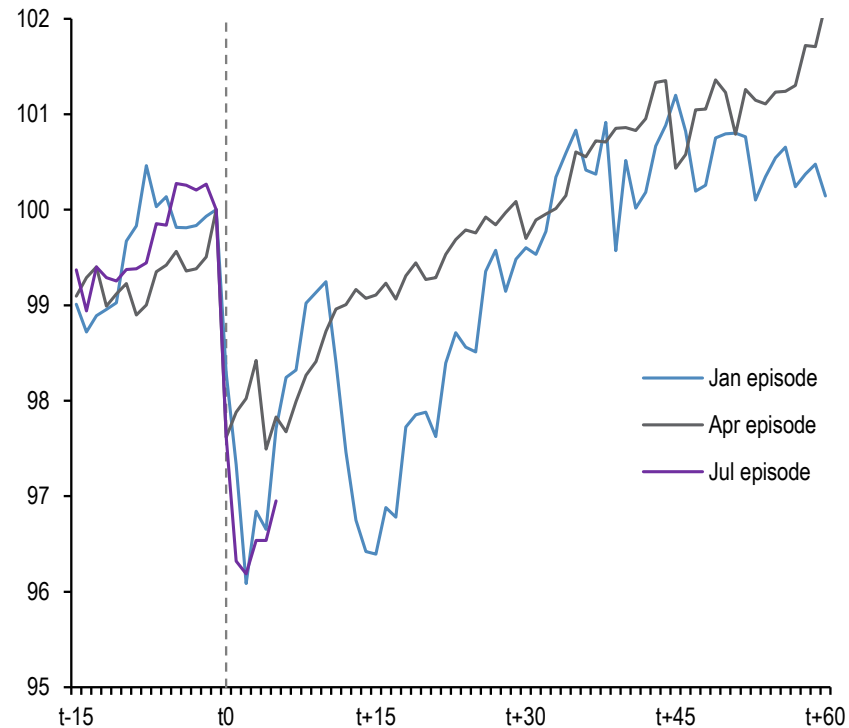
Global macro investors' focus over the past fortnight has been the July Fed meeting and press conference and on the joint FX intervention in the yen market. The US and Japan completed a [coordinated yen-buying intervention](#), the first since June 1998. Of note, this action stands out on two fronts: 1) the US has historically been reluctant to intervene in FX markets, with this marking only the fourth intervention since 1996; and 2) the yen buying from the US Treasury was funded by selling EUR, not USD, suggesting that US intervention efforts were focused on supporting the yen rather than weakening the dollar, and on preventing a spillover of JGB volatility to the US Treasury market. However, fiscal concerns and fears that the BoJ will fall behind the curve remain,

despite temporary currency support, and thus we hold our 3Q26 and 4Q26 USD/JPY forecasts at 160 and 164, respectively. We continue to expect the BoJ to hike 25bp in October and [revise our 2027 rate hike](#) forecast to three hikes (March, July and December), from two hikes previously, given inflationary pressures.

We highlight various measures to prevent yen depreciation including: 1) yen buying by Japan's MOF, 2) coordinated yen-buying intervention by the US Treasury, 3) an allocation shift from GPIF, and 4) use of the FIMA Repo Facility. Considering expediency, the need to sell US Treasuries, and remaining intervention capacity, we believe the GPIF allocation shift is the most realistic path, but it raises the question of which assets would be sold to offset an increase in domestic bonds. Notably, YTD yen-buying intervention has reached ~¥23–29 tn (~\$146–184 bn), already exceeding 2024's total of ¥15 tn (\$95 bn). Furthermore, the cumulative YTD volume represents ~13–17% of the “securities + deposits” portion of FX reserves (\$1.09 tn as of end-June), which can be used immediately for intervention. Consequently, another ~5-7 similar-sized interventions would exhaust that buffer, constraining the MOF's capacity to intervene on the same scale. Similarly, as neither Japan nor the US appears to have large amounts of available funding for additional intervention, we believe the impact will be driven primarily by the announcement effect, which should be sufficient to reduce near-term risks but its efficacy may fade if the yen keeps weakening and no further action is taken, as skepticism about remaining intervention capacity increases. Regarding the [FIMA repo facility](#), it is a USD liquidity backstop for foreign institutions in need of USD during funding stress, but it was not designed for FX intervention, and we believe there are limitations in using it as such. This year's FX interventions have had only transient effects (Figure 2), and even coordinated action is unlikely to deliver a durable shift over the medium term as markets increasingly question the resolve and policy consistency of the Japanese and US authorities to lean against further yen depreciation, with a particular focus on BoJ action.

Figure 2: Latest JPY move is sizable, but in line with earlier 2026 intervention episodes (indexed)

t0 = intervention date; USD/JPY indexed to 100 on t-1 (the prior trading day)



Source: J.P. Morgan, Bloomberg Finance L.P.

Last week, [the Fed stayed on hold](#) with three hawkish dissents. More importantly, Chair Warsh's communication undermined the Fed's inflation-anchoring credibility: he cast doubt on the use of PCE as the preferred inflation measure and suggested that the balance sheet may play a more active role going forward. Taken together, risks shift toward a higher inflation risk premium and term premium, resulting in an initial twist steepening of the UST curve. In response, [we raised our YE26 forecasts](#) for 10Y and 30Y UST yields to 4.85% and 5.40% (from 4.70% and 5.20%), respectively, and pulled forward our next Fed hike from 2H27 to December this year. In turn, [we initiated 2s/10s UST steepeners and 5Yx5Y inflation breakeven wideners](#) after the Fed meeting and we hold these trades after the payrolls report today. The steepener is expected to work on: a) less pressure on the Fed to hike in September (still ~10bp priced in) and b) further upside on higher inflation term premium, also expressed by the breakeven wideners.

In the short term, we believe today's [payroll report](#) removes the pressure on the Fed to hike in September, with the focus shifting to the forthcoming CPI prints. This alleviates concerns on the Fed's credibility in the near term; however, the Fed's credibility and inflation premia debate could resurface over the medium term, impacting not only our duration and UST curve view, but also for the outlook on USD and gold. The impact on risk assets is generally second-order, typically becoming material in a severe, disorderly credibility shock. Furthermore, we believe that risk assets will remain driven by the AI theme and earnings dynamics after the sharp de-leveraging seen in the past few weeks. Our cross-asset bias is that the repricing of premia will depend on the macro path. Premia are most likely to rise in a "muddle-through" environment of mixed data and hesitant policy signals, and less likely to rise if the macro outlook turns decisively

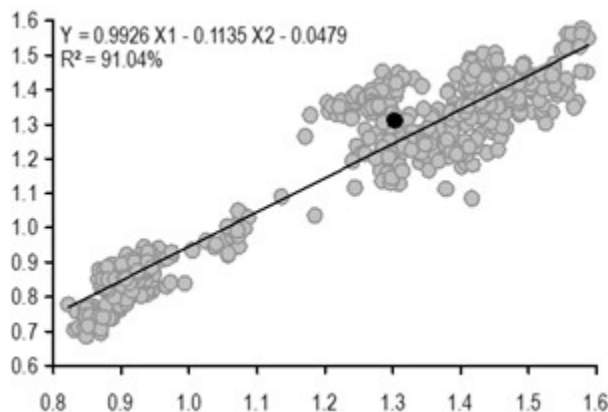
weaker or stronger.

Given the softening in the labour market, we believe that a Fed that keeps rates on hold would not be interpreted as a credibility problem. If that scenario persists, the market should unwind its year-end hike pricing, leading to a bull steepening of the yield curve, reducing the upside for USD. Conversely, if the labour market re-accelerates and core inflation remains stuck around 3%, pressure should build on the broader FOMC to deliver hikes despite Chair Warsh's initial preference to wait. In this scenario, the institution's inflation-fighting credibility should reassert itself, a dynamic which is supportive for the USD, resulting in a bear flattening of the yield curve, and a limited upside in gold.

To assess the market's concerns surrounding the Fed's independence and credibility, [we refresh a relative value model we presented last year](#). We run a regression model of the US Treasury 5s/30s curve vs. the simple average of 5s/30s bond curves in Germany, UK and Japan and the 1Yx1Y SOFR rate. The objective of this model is to capture the broad sensitivity to: a) global supply/demand imbalances at the long-end of the curve as well as broad fiscal concerns, and b) domestic monetary policy considerations given the repricing higher of Fed terminal rate since the beginning of the Middle East conflict. The model results show that the US Treasury curve is modestly (~7bp) steep (Figure 3), suggesting that there are potentially other factors at play. Historically, we find that the residual of this model can be broadly explained by the evolution of long-term inflation expectations such as 20Yx10Y US inflation swap. The "excessive" steepness of the UST curve and the level of long-term inflation breakevens indicate that concerns around Fed independence and credibility are not currently priced, and could increase in the data "muddle-through" scenario discussed above. (Figure 4).

Figure 3: 5s/30s UST curve is ~7bp steep

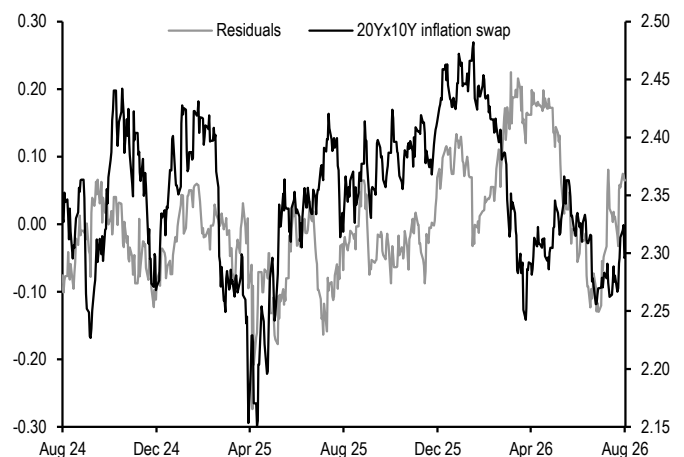
5s/30s UST curve vs. an average of equally weighted 5s/30s Germany, Japan and UK bond curves and the 1Yx1Y SOFR rate; past 2Y



Source: J.P. Morgan

Figure 4: Concerns around Fed independence and credibility are not currently priced

20Yx10Y US inflation swap; RHS vs. model residuals; LHS



Source: J.P. Morgan

The AI equity narrative has been dominated by a sharp momentum unwind followed by a sharp relief rally, with Semis and Korea acting as the two cleanest high-beta expressions. In the US, the SOX index fell about 21% in July, its steepest monthly drop since 2002, before rebounding nearly 17% over four sessions in early August, reading more like a positioning and valuation reset than a fundamental break. Korea has been

the more-levered version of that dynamic, with the KOSPI now roughly 40% off the late-June peak after an intense de-leveraging since mid-June. This started as a rotation and then whipsawed on forced unwind dynamics, first through leveraged ETF mechanics and increasingly through hedge fund positioning. The key incremental point is that positioning headwinds in Korea look materially reduced. Korea-linked leveraged ETF exposure has retraced sharply, with AUM down from roughly \$50bn at the late-June peak to about \$17bn, suggesting the forced unwind linked to these vehicles is largely behind us. We now believe that the leveraged ETF unwind is almost complete and hedge funds are done with ~90% of de-leveraging. Taken together, that leaves the setup more constructive on balance, even if near-term caution persists around major catalysts.

Hyperscalers' earnings have been the pivotal checkpoint for the AI narrative because the market came into the season less focused on near-term revenue beats and more on two issues: free cash flow pressure from elevated capex and whether management teams could credibly bridge the gap between investment to monetization and incremental ROIC. The main message from prints has been that capex is staying elevated, but it is being framed more explicitly as capacity delivery against demand rather than discretionary expansion. The market's reaction has been less about headline beats and more about the quality of forward commentary, with investors rewarding clearer monetization pathways (i.e. Amazon and Google) and pushing back where the story remains more aspirational (such as Meta). A particularly important theme has been management teams putting more emphasis on near-term revenue levers tied to AI infrastructure, because those details shorten the perceived distance between today's buildout and tomorrow's earnings and cash flow. Net-net, the season has not removed the free cash flow debate, but it has reinforced that the burden of proof is now centered on execution and monetization rather than capex levels alone.

Beyond AI, US Healthcare screens as a less-correlated diversification opportunity as we move through earnings season and positioning remains heavily skewed toward a narrow set of AI winners. On Healthcare, the setup is becoming increasingly asymmetric. The sector has endured a historically deep and prolonged underperformance streak since 2022, and its footprint in the S&P 500 has compressed meaningfully, with its index weight down to about 9% from about 16% at the cycle peak. This multi-year de-rating has been driven less by fundamentals and more by an accumulation of policy and reimbursement overhangs, including drug pricing reform, Medicaid and reimbursement pressures, and broader Washington uncertainty. It has also been reinforced by positioning, with Healthcare increasingly used as a funding short versus crowded AI-related longs, leaving ownership near cycle lows and positioning depressed around the low-teens percentile versus history. In asset allocation terms, Healthcare offers a rare mix of durable growth, high profitability, and low correlation to the tech complex, which makes it a sensible complement to AI-heavy books where the marginal risk is crowding and factor volatility rather than the baseline earnings cycle. Additionally, a divided outcome in the upcoming midterms could ease policy-uncertainty concerns, while expectations for AI-driven productivity gains remain low, leaving scope for upside surprises.

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Global Markets Strategy
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J.P.Morgan

JPM Forecasts

Rates					
	Current	Sep-26	Dec-26	Mar-27	Jun-27
US (SOFR)	3.65	3.65	3.90	3.90	3.90
10-year yields	4.61	4.80	4.85	4.85	4.85
Euro area (depo)	2.25	2.50	2.50	2.50	2.50
10-year yields	3.12	2.95	2.90	2.85	2.80
Italy-Germany 10Y (bp)	76	85	85	80	80
Spain-Germany 10Y (bp)	43	45	45	45	45
United Kingdom (bank rate)	3.75	3.75	4.00	4.00	3.75
10-year yields	4.90	4.80	4.80	4.75	4.70
Japan (call rate)	1.00	1.00	1.25	1.25	1.50
10-year yields	2.79	2.95	2.95	2.95	3.05
EM Local (GBI-EM yield)	6.20		6.03		

Currencies					
	Current	Sep-26	Dec-26	Mar-27	Jun-27
JPM USD Index	107.2	108.1	108.7	109.2	109.8
EUR/USD	1.16	1.14	1.13	1.12	1.10
USD/JPY	157	160	164	164	164
GBP/USD	1.35	1.31	1.28	1.29	1.28
AUD/USD	0.71	0.70	0.69	0.69	0.69
USD/CNY	6.75	6.70	6.70	6.75	6.80
USD/KRW	1408	1540	1560	1580	1585
USD/MXN	17.11	17.35	17.30	17.30	17.30
USD/BRL	5.08	5.15	5.20	5.15	5.15
USD/TRY	47.70	49.00	51.40	53.70	56.11
USD/ZAR	16.15	16.25	16.00	15.90	15.75

Commodities					
	Current	Sep-26	Dec-26	Mar-27	Jun-27
Brent (\$/bbl, qtr avg)	82	86	80	71	67
WTI (\$/bbl, qtr avg)	77	81	74	67	63
Gold (\$/oz, qtr avg)	4316	4300	4500	4600	4700
Copper (\$/metric tonne, qtr avg)	14217	14500	14800	14000	13800
Aluminum (\$/metric tonne, qtr avg)	3256	3800	3700	3450	3200
Iron ore 62% Fe (\$/metric tonne, qtr avg)	95	105	100	100	100
Wheat (\$/bu, qtr avg)	6.4	5.6	5.8	5.7	5.7
Soybeans (\$/bu, qtr avg)	11.58	10.50	11.00	11.00	11.30

Credit			
		Current	Dec-26
US High Grade (bp over UST)	JPM JULI	92	95
Euro High Grade (bp over Bunds)	iBoxx HG	89	90
US High Yield (bp vs. UST)	JPM HY	304	350
Euro High Yield (bp over Bunds)	iBoxx HY	311	300
EM Sovereigns (bp vs. UST)	JPM EMBIGD	235	250
EM Corporates (bp vs. UST)	JPM CEMBI	164	180

Equities			
		Current	Dec-26
US	S&P 500	7710	7800
Euro Area	MSCI Eurozone	395	420
UK	FTSE 100	10947	11000
Japan	TOPIX	4075	4400
EM	MSCI EM (\$)	1659	2000
China	MSCI China	77	100
Korea	KOSPI	6259	9000
Taiwan	TWSE	44226	47000
India	MSCI India	2995	3200
Brazil	Ibovespa	175546	190000
Mexico	MEXBOL	66396	68000
Saudi Arabia	MSCI Saudi Arabia	1241	1235

Equity Sectors - YTD Returns & Recommendations				
	US	Europe	Japan	EM
Energy	31.9% UW	34.3% UW	14.5% OW	8.5% OW
Materials	14.6% UW	19.0% OW	19.8% OW	3.9% OW
Industrials	19.7% N	14.9% OW	17.0% N	13.5% N
Discretionary	1.0% N	-6.6% OW	7.1% OW	-7.5% N
Staples	10.7% N	6.9% UW	7.1% UW	-2.0% UW
Healthcare	6.5% N	2.5% N	2.5% UW	5.4% UW
Financials	6.1% N	19.9% N	41.1% OW	8.9% OW
Technology	22.9% OW	34.3% N	47.1% OW	64.0% OW
Comm Services	2.1% OW	3.5% N	4.6% N	-12.8% N
Utilities	2.8% OW	17.6% N	1.7% OW	4.9% N
Real Estate	12.2% UW	8.0% N	-6.9% OW	0.4% N
Overall	13.3% OW	14.0% OW	20.5% N	19.8% OW

Global Economic Outlook Summary

	Real GDP			Real GDP						Consumer prices			
	% over a year ago			% over previous period, saar						% over a year ago			
	2025	2026	2027	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	4Q25	2Q26	4Q26	2Q27
United States	2.1	2.1 ↑	2.0	2.1	1.5	2.5 ↑	1.8	2.3	2.3	2.7	3.8	3.5 ↓	1.8 ↓
Canada	1.9	0.8 ↑	1.6	-0.1	3.0 ↑	1.4	1.4	1.7	1.7	2.2	3.0	2.7	1.6
Latin America	2.1	1.9	1.8	1.6	<u>2.9</u>	1.6 ↓	2.1 ↑	2.1 ↓	1.3	3.9	4.3	4.4	3.8
Argentina	4.4	2.7	3.0	3.0	<u>-1.5</u>	3.8	4.5	4.0	2.0	31.8	32.8	29.4	20.5
Brazil	2.3	2.0	1.3	4.5	<u>2.0</u>	1.2	1.0	2.4	0.4	4.5	4.6	4.9	3.8
Chile	2.5	1.0	3.2	-1.1	1.2 ↑	4.0 ↓	3.5	2.5	3.0	3.4	4.0	3.8	3.4
Colombia	2.6	2.6	1.5	2.4	<u>2.5</u>	1.5	0.5	1.5	2.0	5.3	5.8	6.2	5.9
Ecuador	3.7	3.0	2.0	4.5	<u>0.3</u>	1.0	2.0	3.0	2.3	1.4	1.9	2.2	1.5
Mexico	0.5	1.4	1.7	-2.4	6.1	0.5 ↓	2.5 ↑	1.0 ↓	1.3 ↓	3.7	3.9	3.7	3.5
Peru	3.4	3.0	2.9	2.4	<u>2.5</u>	4.0	2.5	3.5	2.7	1.4	4.0	4.1	3.2
Uruguay	1.8	1.1	1.4	3.2	<u>0.4</u>	0.0	1.0	1.3	0.0	4.0	3.1	4.3	5.1
Asia/Pacific	4.5	4.3 ↑	3.9	5.6	<u>2.9</u> ↑	3.7	4.1	4.0 ↓	4.1	1.2	2.0	2.3	1.9 ↓
Japan	1.1	0.9 ↑	1.1 ↑	1.8	<u>1.9</u> ↑	1.0	1.3	1.0	1.2 ↑	2.7	1.5	2.9	2.3 ↓
Australia	2.0	2.0	1.8	1.1	<u>1.6</u>	1.5	1.9	1.5	1.7	3.6	3.9	3.9	3.6
New Zealand	0.2	2.1	2.3	3.2	<u>1.2</u>	3.4	1.2	4.0	1.0	3.1	3.8	3.7	2.4
EM Asia	5.2	4.9	4.4	6.5	<u>3.1</u>	4.2	4.7	4.6	4.7	0.9	1.9	2.1	1.7
China	5.0	4.6	4.3	6.3	2.4	<u>4.3</u>	4.9	4.5	4.5	0.6	1.1	1.0	0.7
India	7.7	6.5	6.3	8.0	<u>5.1</u>	5.0	6.2	6.3	6.7	0.8	4.1	5.6	5.5
Ex China/India	4.0	4.9 ↑	3.8	6.0 ↓	4.1 ↑	3.7 ↑	3.2	4.0 ↓	4.1	1.8	2.9	3.2	2.3 ↑
Hong Kong	3.6	3.4	2.9	12.1	-2.4	<u>2.8</u>	2.8	3.0	2.8	1.3	1.9	1.7	1.6
Indonesia	5.1	5.0 ↑	4.9	5.3 ↓	5.1 ↑	<u>3.7</u> ↑	2.9 ↑	6.0 ↓	5.8 ↓	2.8	2.9 ↑	3.4 ↓	2.7 ↑
Korea	1.1	3.8	3.3	7.5	2.5	<u>4.0</u>	3.0	3.5	3.5	2.4	3.0	3.5	2.6
Malaysia	5.2	5.3	4.5	1.7	8.5	<u>5.0</u>	4.5	4.0	4.0	1.4	2.0	2.1	1.8
Philippines	4.4	3.5 ↓	5.3 ↓	3.8	2.3 ↓	6.5 ↑	7.0 ↓	4.1	5.5	1.7	6.8	6.5	3.8
Singapore	5.0	4.6	2.5	5.3	4.6	<u>1.0</u>	1.0	3.0	3.0	1.2	1.7	2.4	1.9
Taiwan	8.8	9.9	3.7	6.9	9.9	<u>3.2</u>	3.2	4.0	4.0	1.3	2.2	2.2	1.7
Thailand	2.4	2.8	2.5	2.7	<u>0.8</u>	2.8	2.8	2.8	2.4	-0.5	2.7	3.1	0.6
Western Europe	1.3	1.0	1.4	0.4	1.8 ↓	1.2 ↑	1.4	1.5	1.5	2.3	2.9	3.0	2.1
Euro area	1.3	0.9 ↑	1.4	0.0	1.8	<u>1.3</u> ↑	1.5	1.5	1.5	2.1	3.0	3.1	2.0
Germany	0.3	1.0	1.5	1.7	0.9	<u>1.3</u>	1.8	1.8	1.8	2.3	2.6	2.5	1.9
France	0.9	0.6 ↑	1.1 ↑	-0.6	0.7 ↑	0.8 ↑	1.3	1.3	1.0	0.8	2.4	2.9	1.8
Italy	0.7	0.9	0.6	1.3	0.8	0.8 ↑	0.8	0.8	0.5	1.2	3.0	3.9	1.8
Spain	2.8	2.7 ↑	2.2 ↑	2.5	2.9	3.0 ↑	2.5 ↑	2.0 ↑	1.8	3.1	3.6	3.3	2.4
Norway	1.7	1.0	1.6	0.6	<u>1.4</u>	1.8	1.8	1.8	1.5	3.1	3.1	2.9 ↓	2.1 ↓
Sweden	1.7	2.4 ↓	2.1 ↓	-0.6	5.7 ↓	<u>2.0</u>	2.3	2.0	1.8	0.5	0.5	1.3 ↑	1.9 ↑
United Kingdom	1.3	1.2	1.2	2.5	<u>1.5</u>	0.8	1.0	1.6	1.2	3.4	2.8	3.0	2.7
EMEA EM	2.1	1.9	2.8	-0.6	<u>3.5</u>	3.0	2.9	2.7	2.4	10.6	10.4	9.9	8.5
Czech Republic	2.5	2.1	2.2	0.8	1.5	<u>2.3</u>	2.5	2.1	2.1	2.2	2.0	2.2 ↑	2.2 ↑
Hungary	0.4	2.1	2.9	3.2	1.6	<u>3.0</u>	2.8	3.0	3.3	3.8	1.9	1.7 ↓	2.5 ↓
Israel	2.9	3.6	4.2	-3.8	<u>10.5</u>	5.5	3.8	3.5	3.5	2.5	1.8	1.9	1.7
Poland	3.6	3.4	2.9	2.4	<u>4.3</u>	3.3	3.0	2.8	2.5	2.6	2.9	3.2	3.3
Romania	0.7	0.0	3.0	0.0	<u>3.4</u>	3.6	3.2	2.8	2.4	9.7	10.7	5.4	4.3
Russia	1.0	0.5	1.6	-3.1	<u>2.3</u>	1.0	2.0	1.5	1.5	6.6	5.6	6.6	6.2
South Africa	1.1	1.1	1.4	2.2	<u>0.0</u>	1.5	1.2	1.6	1.6	3.6	4.5	4.5 ↑	3.3 ↑
Türkiye	3.6	3.0	4.6	0.5	<u>4.0</u>	5.5	4.6	4.5	3.5	31.6	32.4	29.6	24.0
Global	2.8	2.6 ↑	2.6 ↑	2.7	<u>2.3</u>	2.6 ↑	2.6	2.7	2.7	2.7	3.4	3.4	2.4 ↓
Developed markets	1.7	1.6 ↑	1.7	1.4	<u>1.7</u> ↑	1.9 ↑	1.6	1.9	1.8	2.6	3.3	3.2 ↓	2.0 ↓
Emerging markets	4.2	4.0	3.8	4.7	<u>3.1</u>	3.7	4.0	4.0	3.8 ↓	2.8	3.5	3.6	3.0
Emerging ex China	3.6	3.5	3.4	3.3 ↓	3.8 ↑	3.1	3.3 ↑	3.5 ↓	3.3 ↓	4.7	5.6	5.8	5.0
Global — PPP weighted	3.3	3.0	3.0	3.2	<u>2.6</u>	2.8 ↑	3.0	3.1	3.0	2.9	3.7	3.8	2.9 ↓

Source: Government agencies and J.P. Morgan Global Economics. Details on request. Note: For some emerging economies seasonally adjusted GDP data are estimated by J.P. Morgan. Bold denotes changes from last edition of *Global Data Watch*, with arrows showing the direction of changes. Underline indicates beginning of J.P. Morgan forecasts. Unless noted, concurrent nominal GDP weights calculated with current FX rates are used in computing our global and regional aggregates. Regional CPI aggregates exclude Argentina and Ecuador. Source: J.P. Morgan. Any long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China; Hong Kong SAR (China) and Taiwan (China).

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IB clients**	83%	80%	73%
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J.P. Morgan Emerging Markets Sovereign Research Ratings Distribution, as of July 4, 2026

	Overweight (buy)	Marketweight (hold)	Underweight (sell)
Emerging Markets Sovereign Research Universe*	9%	84%	7%
IB clients**	100%	84%	100%

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J.P. Morgan Credit Research Ratings Distribution, as of July 04, 2026

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